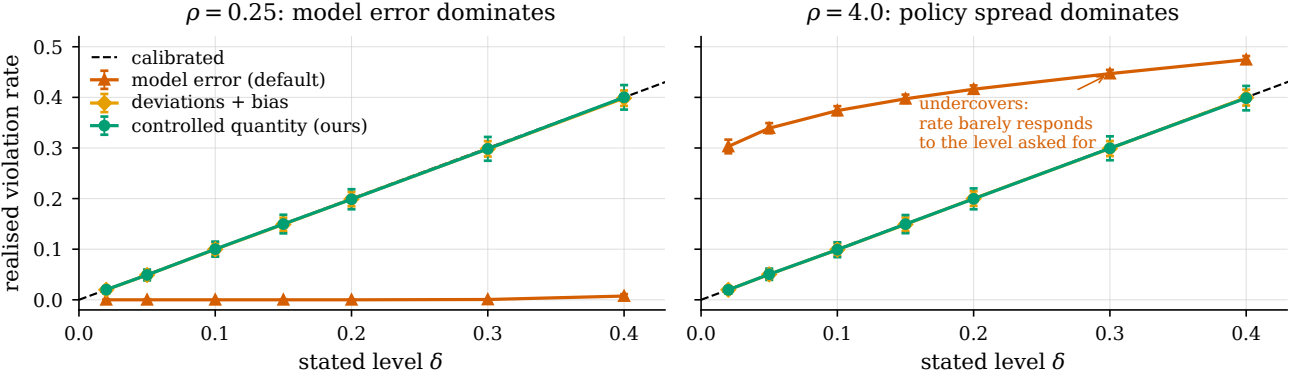
$\rho = 0.25$: model error dominates
$\rho = 4.0$: policy spread dominates
realised violation rate
stated level δ
stated level δ
calibrated
model error (default)
deviations + bias
controlled quantity (ours)
undercovers:
rate barely responds
to the level asked for
0.0
0.1
0.2
0.3
0.4
0.5